FICTIONAL COMPARISON. MFRS V1.2 answers derived from a fictional organisation; scored by the existing calculator. Not a customer report.

MK FRAUD INSIGHTS

ESSENTIAL FRAUD READINESS REPORT

Fictional Owner-Managed Firm has useful foundations in fraud leadership and governance, but weak third-party and supply chain fraud risk and digital and identity fraud risk leave fraud readiness largely developing.

77.51 / 100 **DEVELOPING**

PREPARED FOR

Fictional Owner-Managed Firm

Assessment reference · FX-P4

Assessment date · 11 November 2026

CONFIDENTIAL · PREPARED FOR THE MANAGEMENT OF FICTIONAL OWNER-MANAGED FIRM

WHAT DOES THE ASSESSMENT SHOW?

Fraud readiness at a glance

77.51	Developing	10	90.67	0.00
READINESS SCORE OUT OF 100	MATURITY BAND	DOMAINS ASSESSED	STRONGEST DOMAIN	WEAKEST DOMAIN
			Fraud Leadership & Governance	**Third-Party & Supply Chain**

Domain readiness profile

Third-Party and Supply Chain Fraud Risk	0.00	Reactive
Digital and Identity Fraud Risk	30.43	
Operational Fraud Controls	69.33	Structured
Fraud Culture and Awareness	85.56	Strategic
Fraud Risk Identification	86.67	
Fraud Detection Capability	87.50	
Fraud Incident Response	87.69	
Whistleblowing and Reporting Culture	88.33	
Continuous Improvement and Fraud Risk Monitoring	90.48	
Fraud Leadership and Governance	90.67	

Ordered weakest first. Overall readiness 77.51 / 100.

WHY DOES THE POSITION LOOK LIKE THIS?

What is driving the position

PATTERN	ASSESSMENT SIGNALS	WHY IT MATTERS
Fraud governance and risk discipline	Fraud Risk Identification **86.67** Continuous Improvement and Fraud Risk Monitoring **90.48** Fraud Leadership and Governance **90.67**	The reported cycle of ownership, assessment and review holds only while it stays current, evidenced and connected to management decisions.
Supplier and payment integrity	Third-Party and Supply Chain Fraud Risk **0** Operational Fraud Controls **69.33**	Operational controls do not extend consistently to supplier onboarding and payment-change challenge, leaving direct value-diversion exposure.
Monitoring and detection coverage	Digital and Identity Fraud Risk **30.43** Fraud Detection Capability **87.5** Continuous Improvement and Fraud Risk Monitoring **90.48**	Unusual activity may not be challenged early enough, allowing exposure to remain below management attention.
Incident response and evidence integrity	Fraud Culture and Awareness **85.56** Fraud Incident Response **87.69** Whistleblowing and Reporting Culture **88.33**	Reporting, preservation and response are reported as operating; the management question is whether they would hold under a live incident and produce defensible evidence.

WHERE DOES FRAUD EXPOSURE MATTER MOST?

Priority fraud exposure

#	PRIORITY EXPOSURE	ASSESSMENT BASIS	POTENTIAL CONSEQUENCE	INTERRUPTION POINT	PRIORITY ORDER
1	**Weak challenge at identity, transaction and sensitive-change points** Identity verification at material risk points is not yet applied consistently enough to prevent misuse.	Digital and Identity Fraud Risk **30.43**	Unauthorised access, payment, benefit or profile change can occur before the identity or transaction is challenged.	Risk-based verification at the point of change.	**Priority 1** Digital and Identity Fraud Risk scores 30.43, the weakest capability supporting this exposure.
2	**Additional material control pattern** Sensitive access is not yet restricted and reviewed consistently enough to prevent or quickly challenge misuse.	Digital and Identity Fraud Risk **30.43** Operational Fraud Controls **69.33** Fraud Culture and Awareness **85.56**	Unauthorised changes to a value-bearing record, entitlement or audit trail can create loss and weaken investigation.	A current reconciliation of access against role responsibilities.	**Priority 2** Digital and Identity Fraud Risk scores 30.43, the weakest capability supporting this exposure.

Ordered by the weakest capability supporting each exposure. The order indicates where to act first; it is not a risk rating, and closely ranked exposures may warrant similar attention.

HOW COULD THAT EXPOSURE MATERIALISE?

How exposure could materialise

These are plausible fraud pathways derived from the assessment. They are not allegations that these events have occurred.

WHAT DOES MANAGEMENT NEED TO CHANGE?

What management should change

#	MANAGEMENT OUTCOME	WHY NOW	ACCOUNTABLE	WHAT GOOD LOOKS LIKE
1	**Verification at identity and sensitive-change points**	Priority remediation is mobilised with named owners, active escalation thresholds and confirmed evidence requirements.	Technology / security accountable owner	Risk-based verification applies at sensitive identity and account changes; privileged access and profile amendments, with proportionate checks completed before the change takes effect.
2	**Role-based access and segregation of duties**	Role-based access and segregation are aligned to current responsibilities and reviewed for exceptions.	Finance / operations accountable owner	Access follows current role responsibilities, with segregation-of-duties conflicts identified, justified or removed on a defined cycle.
3	**Restricted and recertified privileged access**	Privileged access is restricted, logged, recertified and removed when no longer justified.	Technology / security accountable owner	Privileged accounts are named, restricted to justified need, logged, recertified on a defined cycle and removed when the justification ends.
4	**Verification at identity and sensitive-change points**	Identity and sensitive-profile changes are verified through a trusted route and retained for investigation.	Finance / operations accountable owner	Risk-based verification applies at sensitive identity and account changes; privileged access and profile amendments, with proportionate checks completed before the change takes effect.

WHAT SHOULD HAPPEN IN THE FIRST 90 DAYS?

The first 90 days

30 days: Stabilise

0–30 DAYS

Priority remediation is mobilised with named owners, active escalation thresholds and confirmed evidence requirements.

Confirm the accountable executive and process owner for each priority finding, activate the defined escalation threshold, resolve the blockers that...

Confirm the accountable executive and process owner for each priority finding, activate the defined escalation threshold, resolve the blockers that...

Complete when: Retain the assessed owner assignments, the activated escalation threshold and the confirmed evidence requirements for each...

Technology / security accountable owner

60 days: Establish

31–60 DAYS

Role-based access and segregation are aligned to current responsibilities and reviewed for exceptions.

Role-based access and segregation of duties

Reconcile role-based access and segregation-of-duties exceptions against current responsibilities.

Complete when: Access requests and approvals

Finance / operations accountable owner

Restricted and recertified privileged access

Reconcile the privileged-account population, enforce named access and retain periodic recertification evidence.

Complete when: Approval and business justification

Technology / security accountable owner

Apply risk-based identity verification and controlled review of sensitive profile or account changes.

Apply risk-based identity verification and controlled review of sensitive profile or account changes.

Complete when: Defined verification risk points and required checks

Finance / operations accountable owner

HOW WILL MANAGEMENT KNOW WHETHER READINESS IS IMPROVING?

What to check at the 90-day point

MEASURE	POSITION TODAY	90-DAY EXPECTATION
Verification at identity and sensitive-change points	Initial / ad hoc: Exists only informally or inconsistently.; assessed from management responses.	Risk-based verification applies at sensitive identity and account changes; privileged access and profile amendments, with proportionate checks completed before the change takes effect.
Role-based access and segregation of duties	Partially designed: Partially designed but not fully implemented.; assessed from management responses.	Access follows current role responsibilities, with segregation-of-duties conflicts identified, justified or removed on a defined cycle.
Restricted and recertified privileged access	Partially designed: Partially designed but not fully implemented.; assessed from management responses.	Privileged accounts are named, restricted to justified need, logged, recertified on a defined cycle and removed when the justification ends.
Verification at identity and sensitive-change points	Initial / ad hoc: Exists only informally or inconsistently.; assessed from management responses.	Risk-based verification applies at sensitive identity and account changes; privileged access and profile amendments, with proportionate checks completed before the change takes effect.

Management conclusion

Fictional Owner-Managed Firm is not starting from zero. Its fraud leadership and governance and continuous improvement and fraud risk monitoring provide a useful foundation. The weakness is that these capabilities are not yet connected into a repeatable fraud-risk cycle, so ownership, challenge, detection and response do not yet reinforce one another. The next 90-day checkpoint should test whether ownership now operate as one system rather than as separate activities.

This report is based on management's responses to the MK Fraud Readiness assessment and MK's analytical methodology. It provides fraud-risk analysis and control-design guidance. MK has not independently tested whether controls operate in practice.